INITIATING COVERAGE · SPACE EXPLORATION TECHNOLOGIES CORP · NASDAQ: SPCX

Priced for Mars: the $1.77 trillion listing embeds the bull case, and then some.

We initiate on SPCX at **AVOID / do-not-chase**. Our base-case fair value is **$66** against the $135 IPO and a ~$161 first-day close — a 51% premium to the offer and ~59% above where we see value. SpaceX is a genuinely exceptional franchise: a launch near-monopoly, a hyper-scaling Starlink, and a newly-merged frontier-AI arm. But at ~90× trailing revenue and roughly $14 billion of annual cash burn, the listing prices in flawless execution across three moonshots simultaneously. The risk/reward is asymmetric to the downside. "Data shows" denotes fact; "we" denotes the Fund's view.

$135	$66	-51%
IPO PRICE · ~$1.77T EQUITY	TON618 FAIR VALUE	VS. IPO · -59% VS. $161 CLOSE

CONTENTS

01 Executive Summary

Recommendation: AVOID at IPO. Fair value $66 (base); bull case $128 still sits below the $135 print. We would revisit constructively below ~$55, or on evidence the AI segment can clear its cost of capital. The franchise is not the question; the price is.

EXHIBIT 1 · PRICE-TARGET TRIAD (PROBABILITY-WEIGHTED)

SCENARIO	PROB.	SEGMENT EV	EQUITY	PER SHARE	VS. IPO
Bull — global telecom utility + Starship + top-3 AI lab	25%	$1,600B	$1,680B	$128	-5%
Base — Starlink scales, Space breakeven, AI optional	50%	$640B	$720B	$55	-59%
Bear — ARPU erosion, capital intensity, AI burn	25%	$280B	$360B	$27	-80%
Probability-weighted fair value	100%	—	—	**$66**	**-51%**

Net cash of ~$79.5B (post-IPO cash ~$99.5B less ~$20B est. debt) added to segment EV in each scenario. Shares: 13.08B Class A+B. Our $66 brackets Morningstar ($63) and Doug Kass (~$70), not Oppenheimer ($190).

Investment thesis

- **The numbers do not support the price.** ~$18.7B FY25 revenue, a ~$2.6B operating loss, and ~$19.6B of investing outflow against ~$6.8B operating cash flow — roughly $14B of FCF burn. At ~90× revenue, SPCX is the most expensive mega-cap on any conventional metric.
- **Starlink is the engine — and its price is falling.** Connectivity revenue +49.8% to $11.4B with $7.2B segment adjusted EBITDA, but ARPU has slid from $99 to $66 as the mix turns consumer and operating income went near-flat quarter-on-quarter despite subscribers doubling. Volume is winning; price is not.
- **The xAI merger is a financing event as much as a strategy.** Bolted on all-stock in February 2026 (~$250B mark, ~3× its value seven months earlier); xAI lost $6.4B on ~$3.2B revenue and is the named first use of the $74.4B of proceeds. Optionality, not earnings.
- **Control is absolute.** Musk holds ~85% of votes on ~42% of equity via 10-vote Class B; SPCX is a controlled company, exempt from key Nasdaq governance rules, with mandatory-arbitration and class-action waivers. Key-person and governance risk are structural.
- **Consensus already needs the optionality.** The sell side is a barbell — Oppenheimer Buy $190 vs. CFRA Sell $115 and Morningstar $63 — averaging ~$164, near the price. Our independent SOTP corroborates the bears.

Answers to the framing questions

Purpose & durability. The mission is real and reflected in capital allocation. Durability of the *launch* edge is high; durability of *Starlink pricing* is the open question.

Proprietary technology. Genuinely defensible — booster reusability, a 10M-subscriber laser-mesh constellation, vertical integration. The AI arm's defensibility is unproven.

The story the numbers tell. A profitable, hyper-growth connectivity utility funding two capital sinks (Starship, AI). Strip them out and Starlink is a great business; consolidated, the entity is FCF-negative by design.

Right valuation lens. Sum-of-the-parts — the three segments sit at different life-cycle stages; a single consolidated multiple is meaningless.

3-input gearing. Value ≈ f(Starlink net adds × terminal ARPU × terminal margin). Those three move ~80% of the defensible value; Starship and xAI are options on top.

Where the leverage is. Operating leverage in Connectivity — the fixed constellation, near-free marginal subscribers — the single greatest sensitivity and the crux of the bull case.

Embedded expectations. $135 requires ~$100B of steady-state FCF — ~$340B revenue, a ~27% CAGR sustained 12 years. Possible; not probable.

Bull / bear, steelmanned. Bull: Starlink becomes the planet's broadband layer, Starship collapses $/kg, xAI compounds — $1.6T+. Bear: ARPU erodes, competition lands, capital intensity persists, Musk risk crystallizes — <$400B.

EXHIBIT 2 · KEY FINANCIALS (USD MILLIONS)

METRIC	FY2023	FY2024	FY2025	Q1'26
Revenue	10,387	14,015	18,674	4,694
Revenue growth	—	+35%	+33%	+15%
Operating income	(3,505)	466	(2,589)	(1,943)
Net income	(4,620)	791	(4,937)	(4,279)
Operating cash flow	4,520	5,776	6,785	1,047
Investing cash flow	(4,860)	(10,790)	(19,570)	(16,700)
Cash & restricted	—	4,690	11,501	25,124

Source: SpaceX Form S-1/A, filed 3 June 2026 (SEC accession 0001628280-26-040364). As-of dates in §17.

0C Media & Market Research

A structured sweep of reporting around the listing (NPR, CNBC, Morningstar, TechCrunch, Defense News, SpaceNews and others; ~50 dated findings, fact/opinion-tagged, in the Phase 0 snapshot). The signal: a record-breaking debut wrapped around an unusually divided sell side, with the debate hinging on whether Starship/AI monetization arrives before the cash-burn forces a re-rating.

What the market did

- Largest IPO in history: ~$75B raised at a fixed $135; opened ~$150, intraday high ~$169 (+25%), **closed ~$161 (+19%)**; ~$33B first-day dollar volume, exceeding QQQ and SPY that session.
- Prediction markets implied ~$176; the bid is real, narrow-float, and momentum-driven.

What the analysts said

- Bull: Oppenheimer Outperform $190 ("only vertically-integrated AI company," $10T TAM by 2035); Morgan Stanley models revenue to $3.4T by 2040.
- Bear: Morningstar $63 (43% odds the AI/space-data-center bet is shelved); CFRA Sell $115; Chanos "hopes and dreams"; Kass ~$70 and shorting.

Fact vs. opinion separated and dated in `normalized/media_research.json`. Two first-party sources (CNBC live blog, TheStreet) 403'd on direct fetch and are corroborated via secondary aggregators; the revenue-multiple (90× vs 94×) and average-PT ($164 mean vs $190 headline) conflicts are carried forward explicitly.

02 Investment Context

The listing arrives into a liquidity-rich, risk-on tape — the only conditions under which a $75B raise clears at a fixed price and pops 19%. That same liquidity sensitivity is the macro risk: a ~90×-revenue, long-duration equity is acutely exposed to the rate and liquidity regime, and rising real yields compress terminal-value-heavy names first.

Relevance to the Fund. TON618 Capital is a Bitcoin fund; SPCX is *not* a BTC-correlated instrument (unlike MSTR or COIN). Its relevance is twofold: (i) a liquidity-regime barometer whose drawdowns would likely coincide with BTC risk-off; and (ii) a potential *short / hedge* candidate against long-duration tech beta, given the asymmetric valuation. We hold no position.

03 Company Overview & Business Model

Space Exploration Technologies Corp. (founded 2002, Hawthorne CA; combined with xAI in February 2026) operates three segments:

$7.1B	$11.4B	~$0.5B
SPACE / LAUNCH — FY25 REV	CONNECTIVITY / STARLINK — FY25 REV	AI / XAI — FY25 (PARTIAL)

- **Space (Launch):** Falcon 9/Heavy (reusable; ~165 launches in 2025, ~85% of US orbital launches), Dragon, and Starship (in ramp). Commercial & government launch; segment adjusted EBITDA positive since 2018; swung to an operating loss in 2025 on Starship investment.
- **Connectivity (Starlink):** consumer, enterprise, mobility and government broadband via a LEO laser-mesh constellation; 10.3M subscribers across 164 markets. The profit engine.
- **AI (xAI):** Grok models, the X platform, and a GPU compute build-out (Colossus). Acquired Feb 2026; consolidated; deeply loss-making (xAI lost $6.4B on ~$3.2B revenue in 2025). The named first use of IPO proceeds.

Capital structure & control. Dual-class (Class A = 1 vote; Class B = 10 votes) plus a non-voting Class C created at IPO. Musk holds ~42% of equity but ~85% of the vote. ~$99.5B pro-forma cash; debt includes legacy X notes ($0.7B 3.875% '27s, $1.0B 5.0% '30s) plus term loans and GPU financing; xAI's ~$17.5B debt is ring-fenced in a subsidiary. Founder ownership is alignment and entrenchment in equal measure.

04 Competitive Positioning & Moat

Wide moat — Launch

A durable cost-and-cadence near-monopoly. Reusability gives a structural $/kg advantage no Western rival has matched; NSSL Phase 3 locked in ~60% of national-security launch. The competitive field just weakened: Blue Origin's New Glenn booster exploded in a static fire on 28 May 2026, grounding its only pad for ~a year. Erosion vector: a Starship stumble, or a credible reusable competitor at scale — both multi-year.

Contested moat — Starlink

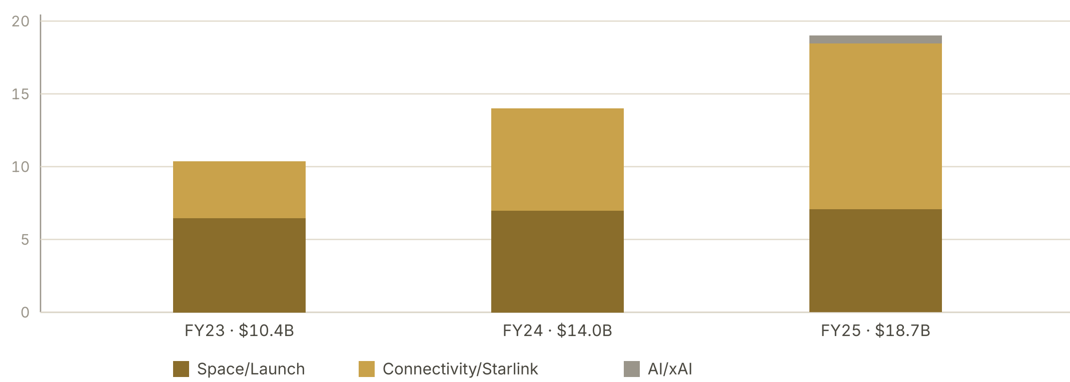
First-scaled LEO broadband: ~10,000 satellites, inter-satellite lasers, spectrum priority (the ~$17B EchoStar buy), and a manufacturing lead. But the erosion vector is real and named: Amazon Leo (~330 sats, well behind), AST SpaceMobile, and Chinese constellations, plus the ARPU erosion the data already shows. Consumer pricing power is unproven; the durable moat is migrating to high-value aviation, maritime, and defense.

05 Proprietary Technology Assessment

- **Booster reusability** — the defining cost lever; a decade-plus operational lead and a reliability flywheel.
- **Laser-mesh constellation** — optical inter-satellite links and vertically-integrated terminals; a 10M-subscriber advantage that compounds with density.
- **Starship** — fully-reusable super-heavy lift. As of Flight 12 (V3 debut, 22 May 2026) it remains *suborbital*: no orbit, no ship catch, no orbital-refuel demo, and NASA's safety panel flags Artemis HLS as potentially "years late." The ~$10/kg target is aspirational; independents model ~$100–600/kg versus Falcon's ~$2,700. High technical risk, enormous optionality.
- **AI flywheel (xAI)** — the bull claim is a data (X) × compute (Colossus) × distribution (Starlink) loop, with orbital compute "as early as 2028." Grok is at 117M MAUs but 2025 AI revenue was only ~$0.5B against a multi-billion burn. We assign it option value, not franchise value.

06 Financial Statement Analysis

EXHIBIT 3 · REVENUE BY SEGMENT (USD BILLIONS)



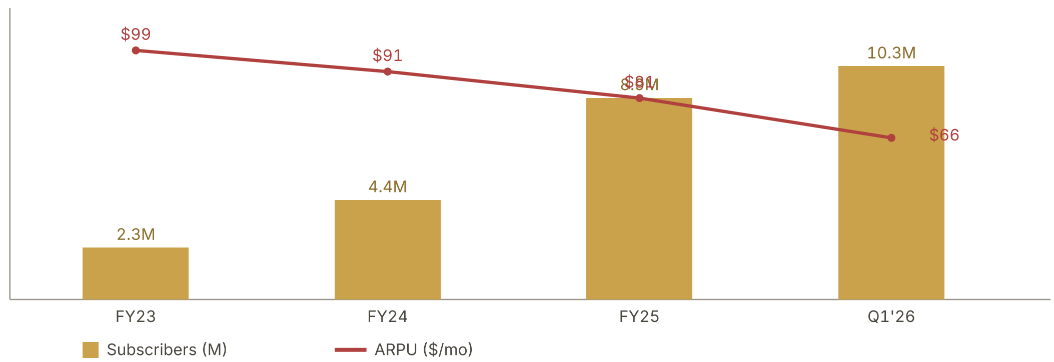
Starlink overtakes launch in 2024 and drives all incremental growth. Source: S-1/A.

- **Growth, decelerating in rate:** +35% (FY24), +33% (FY25), +15% YoY in Q1'26. Connectivity (+49.8%) masks slower launch.
- **Margins:** consolidated operating margin negative ((13.9)% FY25) as Starship + AI absorb Starlink's profit. The 2024 net profit ($791M) was the exception.
- **Cash quality:** OCF is real and growing ($6.8B FY25) but dwarfed by ~$19.6B investing — structurally FCF-negative (~$14B burn), funded by financing (+$26.4B FY25).

- **SBC & dilution (critical):** weighted shares rose 2,759M→3,884M; xAI and Swarm equity plans assumed; ~$460M cash paid for RSU net-settlement post-Q1. We model SBC as a real, dilutive cost — fully-diluted, not adjusted away.
- **Balance sheet:** total assets $92.1B (Q1'26); ~$99.5B pro-forma cash; modest debt. Liquidity is not the risk — returns on deployed capital are.

07 KPIs & Unit Economics

EXHIBIT 4 · STARLINK SUBSCRIBERS VS. ARPU



Subscribers 4.5× in two years while ARPU falls $99→$66. Volume-led growth; pricing under pressure. Source: S-1/A.

CONNECTIVITY KPI	FY2023	FY2024	FY2025	Q1'26
Subscribers (M)	2.3	4.4	8.9	10.3
ARPU ($/month)	99	91	81	66
Segment adj. EBITDA ($M)	1,602	3,849	7,168	2,087
Segment EBITDA margin	—	~50%	~63%	~62%

The hinge: subscriber growth and margin are exceptional, but ARPU is compressing faster than most models assume and operating income went near-flat QoQ despite subscribers doubling. If terminal ARPU settles near $45–50 in a mass-consumer mix, Connectivity's terminal value is materially lower than the price implies. The ARPU-accretive offset is verticals — aviation (+68%), maritime, and Starshield — where SpaceX still dictates price.

08 Business-Model Gearing & Leverage Map

3-input model. Defensible value ≈ *Starlink net adds* × *terminal ARPU* × *terminal segment margin*. Those three drive ~80% of the underwritable value; Starship and xAI are call options layered on top.

EXHIBIT 5 · SENSITIVITY (SWING IN $/SHARE AROUND THE $66 BASE)

Terminal ARPU is the single greatest sensitivity — the crux of the Connectivity debate. Illustrative, anchored on the base SOTP.

Operating leverage sits in Connectivity (fixed constellation, near-zero marginal cost per subscriber — the bull mechanism). **Financial leverage** is low (net cash). **Growth leverage** — the launch→constellation→data flywheel — is the qualitative upside the price is paying for.

09 Forecast / Operating Model

Modeled fully-diluted with SBC treated as a real cost. Base-case shape (driver-based, illustrative):

BASE CASE	FY25A	FY26E	FY27E	FY30E
Revenue ($B)	18.7	25.5	33.0	62
— Connectivity	11.4	16.5	22.0	40
— Space	7.1	8.0	9.0	14
— AI	0.5	1.5	2.5	8
FCF margin	neg	neg	~0%	~12%

Self-funding (FCF breakeven) is not reached until ~FY27 in the base case; the bull pulls it forward, the bear pushes it past FY30. Terminal value is back-loaded — the source of the valuation gap.

10 Intrinsic Valuation — DCF & Reverse-DCF

> **Reverse-DCF (embedded expectations).** At $135 (EV ≈ $1.69T), WACC 10%, terminal growth 4%, the price implies **~$100B of steady-state free cash flow** — at a 30% FCF margin, **~$340B of revenue (~18× FY25), a ~27% revenue CAGR sustained for 12 years.** SpaceX could become that company. The market is treating a wide distribution of outcomes as the base case.

Forward DCF. With the entity FCF-negative today and terminal value dominant, a single consolidated DCF is low-confidence; we use it only to triangulate the SOTP. A 10% WACC (risk-free ~4.3%, ERP ~5.0%, beta ~1.4 de-levered, no size premium), a base-case ramp to ~12% FCF margin by FY30 and ~4% terminal growth yields equity value consistent with the ~$55–66 SOTP base — well below the print.

11 Relative Valuation & Street View

No clean public comp exists — itself informative. Launch has no listed pure-play; Starlink's nearest analogues are satcom (EchoStar/SES/Viasat at ~4–7× EBITDA); xAI maps to frontier-AI private marks. A blunt ~90× EV/Revenue versus ~3–10× for satcom and ~15–25× for the fastest software compounders frames the premium. We therefore lead with SOTP, not multiples.

EXHIBIT 6 · THE STREET IS A BARBELL

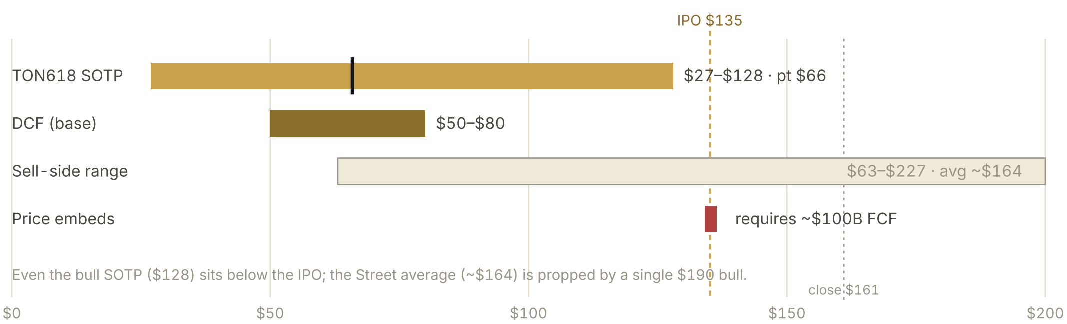
REFERENCE POINT	PER SHARE	VS. IPO	STANCE
Oppenheimer — T. Horan	190	+41%	Outperform — bull case underwritten
Prediction markets (implied)	~176	+30%	Momentum
Average sell-side PT	~164	+21%	Barbell of Buy/Sell, not a mean view
First-day close (12 Jun)	~161	+19%	Market clearing
IPO price	135	—	Fixed price
CFRA — K. Snyder	115	-15%	Sell — capital needs, valuation
Doug Kass (Seabreeze)	~70	-48%	Short
TON618 fair value	**66**	**-51%**	**Avoid**
Morningstar — N. Owens	63	-53%	Significantly overvalued

Range $63–$227; consensus "Buy" is thin and bimodal (≈4 Strong Buy / 1 Sell). Source: public reporting, retrieved 12 Jun 2026.

12 Valuation Synthesis — Football Field

Life-cycle stages differ by segment, so SOTP dominates (weighted 70%, the triangulating DCF 30%). The consolidated fair-value *range* is $27–$128 with a $66 point estimate — a range, not false precision.

EXHIBIT 7 · VALUATION FOOTBALL FIELD ($/SHARE)



13 Risk Analysis

RISK	LIKELIHOOD	MAGNITUDE	TYPE
Valuation / multiple compression	High	High	Market
Starlink ARPU erosion & competition	Medium	High	Competitive
Capital intensity / ~$14B FCF burn	High	Medium	Financial
AI (xAI) burn fails to clear cost of capital	Medium	High	Execution
Key-person — Elon Musk (part-time, ~85% votes)	Low	Very High	Governance
Starship technical / schedule slippage	Medium	Medium	Technology
Controlled-company governance / arbitration waivers	Certain	Medium	Governance
Regulatory — FCC spectrum (denied Apr'26), gov't 30–40% of rev	Medium	Medium	Regulatory
Lock-up overhang (tiered; main tranche ~Dec'26)	High	Medium	Technical

Market risk. A newly-listed, ~90×-revenue, low-float, long-duration equity. We expect 30-day realized volatility well above 50% annualized; a 5th-percentile 12-month outcome below $40 is plausible on a risk-off + ARPU-disappointment combination.

> **Steelmanned bear thesis (mandatory).** Starlink ARPU settles at $45–50 as consumer mix and competition bite; Connectivity margins plateau; Starship consumes capital for years without commercial payoff; xAI burns $10B+/yr against thin Grok monetization; the controlled-company structure suppresses any governance correction; and a liquidity-regime shift compresses the multiple. Fair value falls toward the $27 bear case — a >80% drawdown from the close. None of this requires SpaceX to fail operationally; it only requires the price to have over-discounted optionality.

14 Catalysts & Monitoring

CATALYST	WINDOW	READ
First post-IPO print (Q2'26)	Aug 2026	ARPU trajectory; AI-segment burn rate
Starship orbital / refuel / catch milestones	2H'26+	Validates or breaks the launch optionality
Starlink direct-to-cell scale (EchoStar spectrum)	2026–27	The mass-market ARPU swing factor
Tiered lock-up — main tranche	~Dec 2026	Supply overhang; insider-selling signal
Amazon Leo / AST commercial scale	2026–27	First real competitive read on pricing

Invalidation trip-wires (what would change our call): (i) Starlink ARPU stabilizing above $70 with continued net adds; (ii) the AI segment showing a credible path to cash-flow positive; (iii) a de-rate below ~$55. Any two would move us from Avoid toward Hold/Accumulate.

15 ESG & Governance

- **Governance (material).** Musk ~85% of votes on ~42% of equity via 10-vote Class B; controlled-company exemptions from Nasdaq independence rules; a non-voting Class C; mandatory arbitration plus jury-trial and class-action waivers; removable only by Class B vote. The xAI merger was a related-party deal priced by the controller through Nevada entities (the SolarCity precedent). Minority Class A holders own cash-flow exposure with effectively no control. This is the dominant non-financial risk and the basis of our governance discount.

- **Insider ownership.** High alignment, high entrenchment; the $1T Tesla pay-package fight is the precedent for how retention can be wielded. Watch Form 4 activity into the lock-up.
- **Environmental/social.** Net-positive narrative (global connectivity, launch reuse) against orbital-debris, launch-site environmental, and X content-moderation scrutiny now inside the perimeter.

16 Recommendation

AVOID at the IPO / first-trade. Fair value $66 (base), $128 (bull), $27 (bear); probability-weighted $66 — 51% below the $135 print and ~59% below the ~$161 close.

- **For the Fund:** no core position (non-BTC-correlated). The actionable expression is a *tactical short / put overlay* as a hedge against long-duration tech beta and a liquidity-regime turn — sized small, given borrow cost, squeeze risk on a beloved name, Musk-headline convexity, and the tiered lock-up that delays the natural supply catalyst to ~December 2026. Entry discipline matters more than the thesis.
- **Revisit long** below ~$55, or on ARPU stabilization + AI cash-flow visibility.
- **Expected value:** 0.25($128) + 0.50($55) + 0.25($27) = $66. The asymmetry (−80% bear vs. −5% bull) is the point: you are paid little to be right and lose much to be wrong.

17 Disclosures & Data Integrity

Primary source. SpaceX Form S-1/A, filed 3 June 2026 (SEC accession 0001628280-26-040364; CIK 0001181412), the operative amended prospectus; original S-1 20 May 2026. Financial figures as-of 31 March 2026 (Q1'26) or fiscal-year-end as labelled. The full Source & Evidence Log is the Phase 0 `manifest.json` (status: partial — the only gap is pre-IPO earnings transcripts, which do not exist).

Key assumptions & limitations. SOTP segment multiples and scenario probabilities (25/50/25) are TON618 judgments, stated explicitly. Total debt ~$20B is an estimate pending full balance-sheet extraction; net-cash sensitivity is <5% of equity value. Starlink churn, cohort retention, and magic-number are not disclosed at full granularity. Vertical-segment revenue figures (aviation/maritime/Starshield) are third-party estimates, lower-confidence than S-1 consolidated numbers. The DCF is low-confidence given terminal-value dominance and only triangulates the SOTP.

Conflicts. TON618 Capital holds no SPCX position as of the report date. The Fund is a Bitcoin fund; SPCX is not a Fund holding or a BTC-correlated instrument. **Version** 1.1 · §0C deep-research media sweep added · analyst: TON618 Equity Research · generated by the ton618-tech-valuation tool.

SELECTED SOURCES (MEDIA SWEEP, RETRIEVED 12 JUN 2026)

NPR / CNBC — IPO pricing & first-day trading · Yahoo Finance — Oppenheimer initiation ($190) · Morningstar / TradingKey — fair value $63 · CNBC / TipRanks — CFRA Sell $115 · Bloomberg / US News — Chanos · Stocktwits — Kass · stockanalysis.com — consensus · Via Satellite — S-1 financials · The Next Web — Starlink ARPU · Defense News — Pentagon pricing · Fierce Network — EchoStar $17B spectrum · CNBC — xAI–SpaceX merger · The D&O Diary — governance · TechCrunch — xAI burn · NASASpaceFlight — Starship Flight 12 · SpacePolicyOnline — Artemis HLS · Spaceflight Now — New Glenn explosion · Morningstar — tiered lock-up · AInvest — FCF analysis. Full URLs in `normalized/media_research.json`.
